International Business Machines (NYSE: IBM)

A Cash Machine With a Free Quantum Option — The Debate Is the Discount Rate

OVERWEIGHT	PRICE TARGET $320	CURRENT PRICE $227.88	UPSIDE +40.4%

Market Cap	**$217B**	FY2025A Revenue	**$67.5B**
Core Net Debt	**$40.8B**	FY2026E Revenue	**$70.3B**
Dividend Yield	**3.0%**	FY2030E EBIT Margin	**19.8%**
Consensus PT	**$242.65**	WACC / Terminal g	**7.8% / 2.5%**
Base DCF Value	**$294**	Core (ex-quantum) Value	**$270**
Prob.-Weighted Value	**$321**	Quantum Value (base)	**$23**

EXECUTIVE SUMMARY

We initiate on IBM at **Overweight** with a **$320 price target** (+40.4%; +43.4% including the 3.0% dividend). The stock has fallen 31% from its 52-week high after IBM cut 2026 guidance to 4–5% constant-currency growth on a 42% drop in IBM Z mainframe revenue in Q2. We think the market is extrapolating a cyclical air-pocket in Infrastructure onto a business whose growth engine — Software, now 44% of revenue at a 33% segment margin — is still compounding.

Our 10-year segment DCF values core IBM at $270 per share and the quantum program at $23. At $227.88 the stock trades **below our core-only value**: the market is assigning quantum nothing. The real debate is the discount rate — today's price implies a ~9.0% WACC against our 7.8% (β 0.81, Rf 5.1%). Our price target probability-weights four quantum outcomes ($320.69, rounded).

INVESTMENT THESIS

1. Software Is the Business — and It Is Still Growing

Software grew 11% in FY2025 to $30.0B with a 33.1% segment margin; Red Hat +11% and Data +19% in Q2 2026. Confluent (closed March 17, 2026) adds real-time data streaming for agentic AI. We model Software growth of 9.5% in FY2026E fading to 4.0% by FY2035E.

2. 2026 Is a Mainframe Air-Pocket, Not a Structural Break

IBM Z revenue fell 42% in Q2 2026 against a z17 peak (Q3 2025 Z was +61%). We model Infrastructure -4% in FY2026E and -2% in FY2027E before the next cycle — and still get the value above the current price.

3. Quantum: A Credible Roadmap, Valued Like an Option

IBM targets Starling, a large-scale fault-tolerant system, in 2H 2029 and has committed $10B+ over five years, including the Anderon quantum wafer foundry (~$1B CHIPS funding matched by IBM). Cumulative quantum bookings are only ~$1B since 2017, so we model quantum as loss-making until FY2030E; base-case revenue reaches $7.0B in FY2035E. That is worth $23 a share — and the Dominant case ($502/share) shows how large the tail is.

4. Cash Return Underwrites the Wait

IBM generated $14.7B of reported FCF in FY2025 and guides ~$1B higher in 2026. The $6.76 dividend yields 3.0% at today's price. Note our UFCF treats stock-based compensation (~$1.7B) as a real cost, so it sits below IBM's reported FCF.

SEGMENT PROJECTIONS ($M, FY ending December)

Metric	FY2025A	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E	FY2035E

Software	29,962	32,808	35,433	38,091	40,757	43,406	55,392
Consulting	21,055	21,476	22,120	22,784	23,468	24,172	28,021
Infrastructure	15,718	15,089	14,787	15,675	16,145	16,468	18,182
Quantum	—	150	250	400	700	1,200	7,000
Total Revenue	67,472	70,334	73,426	77,809	81,955	86,158	109,653
YoY Growth	+7.9%	+4.2%	+4.4%	+6.0%	+5.3%	+5.1%	+4.6%
Total Segment Profit	16,134	16,542	17,447	19,040	20,502	21,792	29,849
EBIT (GAAP basis)	12,263	12,462	13,262	14,683	15,994	17,053	23,818
EBIT Margin	18.2%	17.7%	18.1%	18.9%	19.5%	19.8%	21.7%
Quantum Profit / (Loss)	—	-110	-250	-360	-280	-80	2,900
Unlevered FCF	—	13,556	13,749	14,696	15,674	16,484	20,581

FY2025A EBIT = GAAP pre-tax income + interest; unallocated corporate costs are the residual. Full FY2026E–FY2035E detail in the model.

DCF VALUATION

Component	Value	Notes
Sum of PV (FCFs)	$111,212M	Stub (only 21% of FY2026E left) + mid-year
PV of Terminal Value	$209,441M	g 2.5%; 65% of EV
Enterprise Value	**$320,653M**	**WACC 7.75%; 17.4x FY2027E EBITDA**
+ Cash – Core Debt	+$8,177M / –$49,000M	Jun 30 2026; $13B Financing debt funds receivables, excluded
Base DCF Value per Share	**$293.54**	**+28.8% vs. current**
Core IBM (ex-quantum)	$270.20	Software, Consulting, Infrastructure, Financing
Quantum program	$23.34	PV of quantum FCF + terminal value
Core Bear / Bull	$180 / $445	±growth, ±margin, ±WACC, ±g (Sensitivity tab)
★ Price Target	**$320**	**OVERWEIGHT — probability-weighted quantum scenarios, ±10% rating bands**

THE DEBATE: DISCOUNT RATE (Base DCF value per share, WACC × g)

g \ WACC	6.25%	6.75%	7.25%	7.75%	8.25%	8.75%	9.25%
1.5%	$353	$315	$283	$257	$234	$215	$198
2.0%	$387	$341	$304	$273	$248	$226	$207
2.5%	$429	$373	$329	**$294**	$264	$239	$218
3.0%	$484	$414	$360	$318	$284	$255	$231
3.5%	$560	$467	$400	$348	$307	$274	$247

Green = ≥10% above the current price; red = below it. At base g the price implies a ~9.0% WACC — roughly 128bp above ours. Every cell is read from the live Sensitivity tab.

QUANTUM SCENARIOS → PRICE TARGET

Scenario	Quantum Rev FY2030E	Quantum Rev FY2035E	Value / Share	vs. Current	Probability
Stalls (0.25×)	$300M	$1,750M	$262	+15.1%	25%
Base (1×)	$1,200M	$7,000M	$294	+28.8%	45%
Breakout (3×)	$3,600M	$21,000M	$377	+65.3%	22%
Dominant (6×)	$7,200M	$42,000M	$502	+120.1%	8%
Probability-weighted			**$321**	**+40.7%**	**100%**

Quantum revenue, contribution margin (60%) and incremental program opex are analyst estimates; IBM does not disclose quantum revenue. Anderon foundry capex is modeled net of CHIPS funding.

KEY RISKS

Risk	Description	How the model treats it
Higher discount rate	If investors keep demanding ~9.0% the stock is fairly valued today.	Table above; the dividend pays ~3% while you wait.
Quantum timeline	Starling slips past 2029, or Google / Quantinuum reach fault tolerance first.	Quantum Stalls scenario (0.25×) carries a 25% weight.
Consulting disruption	Generative AI compresses billable hours faster than IBM can reprice.	Core Bear case: –3pp growth, –2pp margin.
Leverage & pension	~$49B core debt after Confluent; pension obligations not modeled separately.	Investment-grade balance sheet; FCF covers dividend ~2x.

Price as of Oct 14, 2026 close; balance sheet as of Jun 30, 2026. Sources: IBM FY2025 results and 2025 Annual Report, Q2 2026 results and 10-Q, Confluent closing (Mar 17 2026), IBM quantum investment and Anderon announcements (Jun 2026). Q3 2026 results are due Oct 21, 2026. All figures USD millions unless noted; every figure is read from IBM_DCF_Model.xlsx. For portfolio and educational purposes only — not investment advice. Francisco Rodriguez · github.com/Azyo1 · October 2026.